Summing up

Industrial policy works badly. Government should not pick winners. The purpose of government is to address market failure. A government should not be making decisions on which firm is better, what technology is better, or what technical standard is better.

There are some situations where addressing market failure (asymmetric information, externalities and market power) can be done by using the coercive power of the state to design society. A ‘keep left’ rule, imposed by the government, brings order to traffic; it puts an end to the negative externalities of roads without such a rule. This can be rationalized as legislators engaging in a Coasean negotiation, and agreeing upon a contract that solves the problem of externalities.

When a government engages in system thinking, and uses the coercive power of the state in order to impose a design upon society, there are many ways in which this can go wrong. In public policy settings, coercion is applied and there is no feedback loop through which the design is rejected by customers or improved in response to customer feedback.

Social systems are very complex and there is a high risk of unintended consequences. Social engineering is thus difficult to do. The engineer may pursue objectives that diverge from the welfare of the public. The self-organizing system of the market economy generally evolves towards better solutions on its own.

There are some rare situations when a certain touch of system design is useful. One of them is a forced unbundling between industries which improves competition. Net neutrality is the use of the coercive power of the state to force a separation between two industries: the content industry and the carriage industry. Firms that make data pipes only compete on how well their pipes work, and all content providers are able to carry their product on all pipes. Such non-discriminatory treatment by the pipes is related to the ‘common carrier’ principle in common law. System thinking is more